



We need to analyze the quality of the prepaid expenses and understand more about the counter-parties involved.

The suppliers to whom advances are paid must be reliable.



supplier should be reliable in order to minimise loss

The quality of prepaid expenses need to be checked so that there is no write-off. In case of high prepaid expenses, the supplier's credibility becomes important. We need to ask these questions in cases to understand prepaid expenses better.

We also need to know when and how the service related to prepaid expenses will be received.



Accrued Expenses

Accrued Expenses					
Accrued Expenses/ Revenues	0.04	0.05	0.04	0.05	0.06
Risk on continuation of service received					
Resources to pay the accrued expenses in Time					

Accrued Expenses are a liability. The economic benefit has been received and the payment is yet to be done. We can see that for the company, Accrued expenses are negligible.

When the accrued expenses are large, we need to ask questions relating to:

- ◇ Risk on the continuation of service received and
- ◇ Resources to pay the accrued expenses on time

There is risk involved that suppliers may discontinue in case the payment terms are not met in the future. We need to understand how critical is the item in company's operations.